DOGE's Important Mission

The creation of the Department of Government Efficiency (DOGE), tasked with identifying reductions in federal bureaucracy and wasteful government spending in coordination with the president and the Office of Management and Budget, comes at a time when the federal government and all Americans must confront three uncomfortable truths:

1. The federal government often fails to deliver on its objectives, even those few constitutionally enumerated legitimate functions, while weighing down the economy with regulations that prevent market and nongovernmental actors from addressing major social and economic problems.
2. US economic growth, while stronger than much of the rest of the developed world, has been significantly lower in the past 25 years than the quarter-century beforehand, reducing American living standards below what they could have been.
3. Government debt, already historically high, is set to explode to unprecedented levels on policy autopilot over the next three decades, risking some combination of high inflation, slower growth, and federal default.

These three challenges were either worsened or created by the growth and metastasis of an unwieldy federal government and its associated administrative state. The government tries to do too much, so it overspends and overregulates the private sector. The federal government tries to be all things to all Americans—regulator, taxman, protector of individual rights, and Santa Claus—and ends up fulfilling very few of its roles, at a catastrophic cost to the life, liberty, private property, and prosperity of Americans.

DOGE's focus on reversing a decades-long power grab by regulatory agencies that has strangled American businesses, shackled consumers, raised the costs of innovation, and imposed an intolerable bureaucratic burden on all Americans is welcome.

Many federal government actions work at cross purposes. Washington taxes Americans heavily, preventing many from saving adequately for retirement while simultaneously creating tax incentives to encourage private retirement savings elsewhere and spending trillions more to unnecessarily support well-off retirees. It weighs down public servants with arcane human resources–inspired rules infused with divisive diversity, equity, and inclusion (DEI) principles, driving away talented and patriotic Americans who want to make their government work well, or at least less badly. It simultaneously subsidizes drug and vaccine development while disincentivizing their availability through onerous regulatory burdens that fill invisible graveyards. It subsidizes government-connected farmers by reducing the price of water and encouraging the production of some crops while concurrently paying farmers to grow less and taxing Americans to protect politically favored farmers. It subsidizes the construction of infrastructure that must conform to sclerotic regulatory requirements and Buy American regulations that raise the costs, delay construction, and derail completion. These are just some of a legion of examples of how a huge federal government with many objectives breeds inefficiency.

President-elect Trump said that DOGE, headed by entrepreneurs Elon Musk and Vivek Ramaswamy, "will become, potentially, 'The Manhattan Project' of our time," but that understates the magnitude of the challenge. If reforming the federal government and reducing its burden on Americans were as *simple* as turning the theoretical insights of nuclear physics into a functional atomic bomb, it would have been done already. DOGE faces an even higher hurdle—the government itself. The government is a blunt instrument that tries to fix complex problems. By its very nature, it creates incentives for policymakers, public servants, and their cronies that all conspire against the allocation of scarce taxpayer resources to the production of the most highly valued public goods and, instead, channels them toward politically favored projects that shouldn't be contemplated in the first place.

This problem is systemic and inherent to the government. Even the Government Accountability Office acknowledges that. It regularly documents extensive waste, fraud, and corruption across government programs and their poor results, even when they are relatively well implemented. In all these cases and more, real government efficiencies will only emerge from taxing less, regulating less, and doing less with an emphasis on supplying essential public goods at a low cost. Large parts of the government cannot be reformed. They must be eliminated.

That's why DOGE shouldn't limit itself to making the delivery of existing government services more efficient. Supplying more destructive government programs at a lower cost is nonsensical and counterproductive. Delivering more muscular DEI initiatives or more efficiently targeted transfer payments via near-insolvent entitlement programs, for instance, would counter DOGE's intent. In President-elect Trump's words, DOGE's goals are to "dismantle Government Bureaucracy, slash excess regulations, cut wasteful expenditures, and restructure Federal Agencies." DOGE should view itself as an entrepreneurial pressure agent for eradicating all existing *government-created inefficiencies* across the American economy and society. This means a much smaller government.

Congress and the president must ultimately shrink the economy- and society-wide inefficiencies identified by DOGE. That outcome can be aided by DOGE bringing entrepreneurial, intellectual, and political energy to bear on popularizing this mission in conjunction with the Office of Management and Budget, other public servants, policymakers, and think tanks that want DOGE to succeed. In that spirit of cooperation, the Cato Institute's submission of policy reform ideas to the DOGE is grounded in clear principles designed to enhance the liberties and prosperity of Americans:

- **Constitutionally limited government:** The federal government should only undertake constitutionally enumerated actions. Limiting government to these core functions will focus its attention and, more importantly, enable individuals, families, businesses, and state and local governments to provide solutions to economic and social problems.
- **Reduced regulation:** The existing rules and regulations overseen by the administrative state hold back economic growth with few benefits. The number of regulations and their burden should be reduced as much as possible. To make that deregulation stick, we need to reform the processes that make the ongoing growth of the regulatory state possible. New and emerging technologies should be permitted to develop and thrive, and existing price, entry, social, labor, medical, antitrust, environmental, and other controls should be eliminated or significantly revised.
- **A smaller and more effective bureaucracy:** American taxpayers, and their dollars, deserve respect. That means eliminating unnecessary duplication of bureaucracy, installing cutting-edge technologies to reduce overhead, creating a truly meritocratic and accountable civil service, and preventing the growth of unnecessary government.
- **Executive orders:** The federal government is increasingly characterized by a strong president wielding powers through executive orders and other directives that are occasionally overseen by the judiciary. This trend in American governance is lamentable, in general, but it also means the president has enormous power to roll back expensive and destructive rules, regulations, and orders issued by earlier presidents that are contrary to the efficient functioning of the economy, the protection of individual rights, and, in many cases, the limited, proper functions of the government itself.
- **Reduce government spending to make government solvent and reduce economic distortions:** Averting a fiscal crisis will require significant reductions to government spending, especially runaway entitlement programs like Social Security and Medicare. Additionally, reducing spending in most instances will increase economic efficiency because most government programs distort economic activity.
- **Tax efficiency:** The federal government should raise revenue to fund its legitimate functions

as economically efficiently as possible. That means a simple tax code with broad base taxes, low rates, and no special interest deductions, which would provide good incentives for work, saving, and investment.

The Cato Institute's submission to DOGE translates those principles into concrete policy reforms on a wide range of issues. Extending the Manhattan Project metaphor, it contains the theoretical and empirical work necessary to build the device that will help bring the federal government closer to its appropriate size. Still, it is ultimately up to DOGE and federal policymakers to construct it. With the principles spelled out above and the specific policy reform ideas laid out below, DOGE will have the knowledge and tools to finally liberate the American economy and society from an overly bureaucratic and inefficient federal government.